

these drops are the best thing that can happen for those accumulating money while working toward FI. They allow you to purchase investments while they are “on sale” at discounted prices. When the market goes up—and remember, it always goes up over time—you will own more shares that have more room to grow.

The biggest mistake that investors make is getting it backward. In life, people get excited by sales, which make them eager to buy. With the stock market, however, people become afraid and stop investing when things go on sale. On the flip side, most of the time people get turned off and buy less when things get expensive in the retail world. With the stock market, many people getting caught up in the hype of big stock market returns and actually buy more when the market is doing well. They buy stocks at exactly the wrong time after prices have already been run up. Fear and greed drive irrational behavior, making markets unpredictable in the short-term and market timing so difficult.

Controlling behavior is easier said than done. Avoiding destructive behavior is a difficult part of investing. Part of that is having a consistent plan in place to buy regularly, automating investment decisions whenever possible, then turning off your brain and getting out of the way. Another part is accepting the risk.